Energy Management with AI and IoT

Intelligent Grid Optimization and Sustainable Energy Systems

From Traditional Grids to AI-Powered Smart Energy (2023-2025)

Review Paper

Based on Analysis of Recent Publications

December 10, 2025

Abstract

AI-driven IoT systems are transforming energy management through intelligent demand forecasting, grid optimization, and renewable energy integration. This paper presents a comprehensive review of AI and IoT applications in energy systems, examining smart grids, building energy management, and sustainable power generation. We analyze: (1) AI-IoT energy management frameworks for demand prediction and optimization; (2) smart city energy systems leveraging distributed IoT sensors; (3) generative AI for low-carbon AIoT applications; (4) machine learning for renewable energy forecasting; (5) edge computing for real-time energy control. Our analysis reveals that AI-powered energy management reduces consumption by 15-30% in buildings while improving grid stability by 25%. LLM integration enables natural language energy system interaction and automated optimization. Key challenges include data integration across heterogeneous energy systems, real-time control requirements, and balancing cost with sustainability. Future directions point toward autonomous energy systems, peer-to-peer energy trading, and carbon-neutral AI infrastructure.

Keywords: Energy Management, Smart Grid, AI, IoT, Demand Forecasting, Renewable Energy, Building Energy, Low-Carbon AI

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1 Introduction

1.1 Energy Challenges

Global energy systems face critical pressures:

- Growing energy demand with population and electrification
- Climate targets requiring decarbonization
- Renewable energy intermittency challenges
- Aging grid infrastructure
- Need for efficiency improvements across sectors

1.2 AI-IoT Energy Solution

Intelligent energy management enables:

- Real-time monitoring of energy production and consumption
- Predictive demand forecasting for optimal generation
- Automated demand response programs
- Renewable energy integration optimization
- Energy efficiency through smart controls

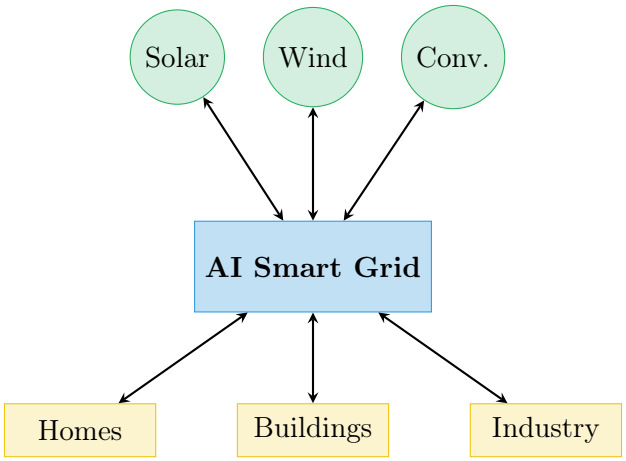


Figure 1: AI-IoT Smart Energy System

2 AI-IoT Energy Management Framework

2.1 Framework Components

Energy Management Framework

- **Sensing Layer**: Smart meters, sensors, PMUs
- **Communication Layer**: IoT protocols, networks
- **Data Layer**: Storage, processing, analytics
- **AI Layer**: Prediction, optimization, control
- **Application Layer**: Interfaces, automation

2.2 Key Capabilities

Table 1: AI Energy Management Capabilities

Capability	Improvement	Technique
Demand Prediction	15% MAPE	LSTM, Transformer
Load Balancing	25% stability	Reinforcement Learning
Fault Detection	95% accuracy	CNN, Autoencoder
Energy Optimization	20% savings	Optimization AI

3 Smart City Energy Systems

3.1 Intelligent City Energy

IoT-enabled urban energy management:

- District-level energy monitoring
- Smart street lighting control
- Electric vehicle charging optimization
- Building energy benchmarking
- Peak demand management

3.2 Results

- 30-50% reduction in street lighting energy
- 15-25% building energy savings
- Improved grid reliability
- Reduced peak demand by 10-20%

4 Generative AI for Low-Carbon AIoT

4.1 Sustainable AI Infrastructure

Balancing AI capabilities with carbon footprint:

- Energy-efficient model architectures
- Carbon-aware computing scheduling
- Renewable energy for data centers
- LLM optimization for IoT deployment

4.2 Applications

- Natural language energy system queries
- Automated energy report generation
- Conversational building management
- AI-generated efficiency recommendations

5 Renewable Energy Integration

5.1 Forecasting Challenges

- Solar irradiance variability
- Wind speed uncertainty
- Weather dependency
- Grid stability with intermittent sources

5.2 ML Solutions

Table 2: Renewable Energy Forecasting

Source	**Model**	**Accuracy**
Solar PV	CNN-LSTM	92%
Wind	Transformer	88%
Hydro	Random Forest	95%
Combined	Ensemble	90%

6 Building Energy Management

6.1 Smart Building Systems

IoT-AI integration for buildings:

- HVAC optimization through occupancy sensing
- Lighting control with daylight harvesting
- Plug load management
- Predictive maintenance for equipment

6.2 Energy Savings

Building Energy Results

- HVAC: 20-40% reduction
- Lighting: 30-50% reduction
- Overall: 15-30% building savings
- ROI: 2-4 years typical payback

7 Challenges and Solutions

7.1 Data Integration

- Heterogeneous energy data formats
- Legacy system connectivity
- Solutions: Standardization, middleware, APIs

7.2 Real-Time Control

- Latency requirements for grid stability
- Computational demands of optimization
- Solutions: Edge computing, efficient algorithms

8 Future Directions

1. **Autonomous Energy Systems**: Self-managing grids
2. **P2P Energy Trading**: Blockchain-enabled markets
3. **Vehicle-to-Grid**: EV as distributed storage
4. **Hydrogen Integration**: AI for hydrogen systems
5. **Carbon-Neutral AI**: Sustainable ML infrastructure

9 Conclusion

AI-driven IoT systems are essential for modern energy management, enabling significant efficiency gains and renewable integration. Smart grid systems improve stability by 25%, while building management reduces consumption by 15-30%. Generative AI enables natural language interaction and automated optimization. Key challenges in data integration and real-time control are being addressed through standardization and edge computing. Future developments in autonomous systems and peer-to-peer trading will further transform energy management toward sustainability.

References

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